

MARKET PRICE		OUR FAIR VALUE (DCF)		UPSIDE TO OUR VALUE		CONSENSUS (MARKET)	
USD 219.74		USD 52.27		-76.2%		USD 300.00	
REVENUE	OPERATING MARGIN	FREE CASH FLOW	WACC	OUR FAIR VALUE (DCF)	CONSENSUS TARGET		
USD 215.9bn FY2026, +65% YoY	60.4% FY2026	USD 96.7bn FY2026	14.7% Discount rate (CAPM)	USD 52.27 -76% vs market	USD 300.00 what the market believes		

Reading the valuation. Our intrinsic DCF values NVDA at USD 52.27, against a market price of USD 219.74 and a Wall Street consensus target of USD 300.00 (the market's view, which our thesis weighs against). Holding every other assumption fixed, today's price implies first-year revenue growth of about 105%, decaying toward the terminal rate. Judge that against the reported history below rather than treating the rating as a forecast.

INVESTMENT THESIS

A strong business with exceptional margins and cash flow, but at USD 220 the market is pricing in unsustainably high growth that we do not see materializing.

Business quality: Strong · **Stock:** SELL — NVIDIA demonstrates strong competitive advantages with high operating margins reaching 60%+ by FY2026 and significant free cash flow generation (\$97 billion in FY2026), supported by scale and advanced architectures.

What the market prices in. The current share price implies first-year revenue growth of approximately 105%, decaying thereafter, reflecting expectations of sustained hypergrowth and margin expansion well beyond historical and reasonable forecasts.

What we expect. Our base case assumes a more conservative 30% revenue growth in year one, tapering to a terminal growth rate of 2.5%, with operating margins stabilizing around 36.2%, reflecting normalization from peak levels and more realistic market penetration.

The gap. The market's valuation assumes aggressive growth and margin expansion that we view as overly optimistic given industry risks, supply constraints, and competitive pressures; this discrepancy results in a 76% downside to our intrinsic DCF fair value of USD 52.27.

Why SELL

- 1 Reverse DCF shows market expects >100% revenue growth initially, while our model forecasts 30%, indicating significant overvaluation.
- 2 Operating margins in our model normalize to 36.2%, far below the 60%+ peak margins recently reported, reflecting competitive and operational risks.
- 3 High valuation multiples embed aggressive assumptions on Data Center growth and margin sustainability, which are uncertain given geopolitical and supply chain risks.
- 4 Management's optimistic outlook and capital return policies do not mitigate risks from potential demand fluctuations and manufacturing constraints.
- 5 Scenario analysis shows a 25% probability of a bear case fair value as low as USD 25, underscoring downside risk.

Biggest catalyst. Disappointing revenue growth or margin contraction in upcoming quarterly results, particularly in Data Center segment, would likely trigger a sharp re-rating downward.

Biggest risk. Sustained acceleration in revenue growth and margin expansion beyond our base case, driven by unexpected market share gains or new product breakthroughs, could support higher valuations.

We would turn more positive if:

- Sustained quarterly revenue growth exceeding 100% year-over-year in Data Center segment.
- Operating margins consistently above 60% beyond FY2026.
- Successful expansion into new high-growth markets or geographies, especially China.

We would turn more negative if:

- Revenue growth falling below 20% year-over-year in the next fiscal year.
- Operating margin contraction below 30% due to increased competition or supply chain issues.
- Material delays or failures in product launches or ecosystem development.

The case against our view. The market's bullish view is supported by NVIDIA's dominant position in AI and data center markets, strong free cash flow generation, and management's track record of capital discipline, which could justify premium valuations if growth and margins sustain at elevated levels.

BUSINESS OVERVIEW

NVIDIA generates revenue primarily from Compute & Networking and Graphics segments, serving direct and indirect customers in AI, gaming, and data centers.

NVIDIA's business is organized into two operating segments: Compute & Networking and Graphics. In fiscal year 2026, Compute & Networking accounted for \$193.5 billion of revenue, representing approximately 90% of total revenue, while Graphics contributed \$22.5 billion, about 10% of total revenue. Operating income was \$130.1 billion for Compute & Networking and \$9.2 billion for Graphics, reflecting the dominant profitability of the Compute & Networking segment driven by accelerated computing and AI platform shifts [1].

The Compute & Networking segment's growth was propelled by a 59% increase in Data Center computing revenue, fueled by demand for the Blackwell computing platform, and a 142% rise in Data Center networking revenue due to NVLink fabric and Ethernet/InfiniBand platform expansion. Graphics revenue grew 41% year-over-year, driven by strong Blackwell GPU demand in gaming and professional visualization markets [SOURCE 3, SOURCE 8].

NVIDIA's customer base includes direct customers such as add-in board manufacturers, distributors, ODMs, OEMs, cloud service providers, AI model makers, and system integrators, as well as indirect customers who purchase through these direct customers. Revenue concentration is significant, with one direct customer accounting for 22% and another for 14% of total revenue in fiscal 2026, primarily within Compute & Networking. Indirect customers include hyperscale cloud providers and enterprises, some contributing over 10% of revenue individually [SOURCE 5, SOURCE 8].

Geographically, 69% of NVIDIA's revenue in fiscal 2026 was from customers headquartered in the United States, with Taiwan and China contributing 20% and 9%, respectively. Notably, a substantial portion of Taiwan-headquartered Data Center revenue is attributed to end customers in the U.S. and Europe. Export restrictions on certain high-performance H2O products to China have led to a \$4.5 billion inventory charge, impacting gross margins and future revenue prospects in that market [SOURCE 2, SOURCE 4, SOURCE 7].

- Fiscal 2026 revenue: \$215.9 billion total; \$193.5 billion Compute & Networking; \$22.5 billion Graphics [1]
- Operating income FY2026: \$130.1 billion Compute & Networking; \$9.2 billion Graphics [1]
- Data Center revenue growth FY2026: 59% computing; 142% networking; Graphics revenue up 41% [SOURCE 3, SOURCE 8]
- Top direct customers accounted for 36% of total revenue in FY2026, mainly in Compute & Networking [SOURCE 5, SOURCE 8]
- 69% of revenue from U.S.-headquartered customers; Taiwan and China represent 20% and 9%, respectively [2]
- A \$4.5 billion charge related to H2O inventory due to U.S. export restrictions affected margins and future China market access [SOURCE 4, SOURCE 7]

Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.77

[2] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78

[3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

[4] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.22

[5] FY2026 Annual Report (10-K) - Item 15 -Exhibits and Schedules - p.78

[6] Q32026 Quarterly Report (10-Q) - Item 1 -Financial Statements - p.22

[7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41

[8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40

FINANCIAL PERFORMANCE

NVIDIA's FY2026 revenue surged 65% driven by AI and accelerated computing, while margins contracted due to product mix and inventory charges.

NVIDIA reported fiscal year 2026 revenue of \$215.9 billion, a 65% increase from \$130.5 billion in the prior year, primarily propelled by Data Center revenue growth of 68%, fueled by accelerated computing and AI platform shifts. Gaming revenue rose 41% on strong Blackwell demand, though supply constraints are expected to impact future quarters. Professional Visualization and Automotive segments also saw robust growth of 70% and 39%, respectively, driven by Blackwell adoption and self-driving platform expansion [1][2].

Gross margin declined by 3.9 percentage points to 71.1% from 75.0% in FY2025, reflecting a strategic transition from Hopper HGX systems to Blackwell full-scale datacenter solutions. This margin contraction was further exacerbated by a \$4.5 billion charge related to H2O excess inventory and purchase obligations. Despite this, gross margin improved sequentially in Q3 FY2026 due to Blackwell ramp and better cost structure [2][6][7].

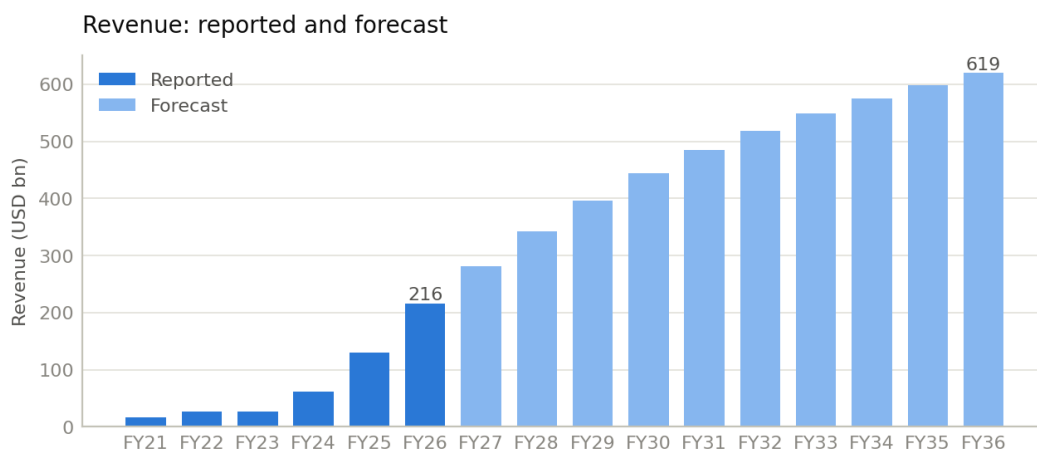
Operating expenses increased 41% to \$23.1 billion, driven by higher compensation and benefits from employee growth, as well as increased compute and infrastructure costs. Research and development expenses rose 43% to \$18.5 billion, while sales, general and administrative expenses grew 31% to \$4.6 billion, reflecting investments in new product development and scaling operations [1][4][6][7].

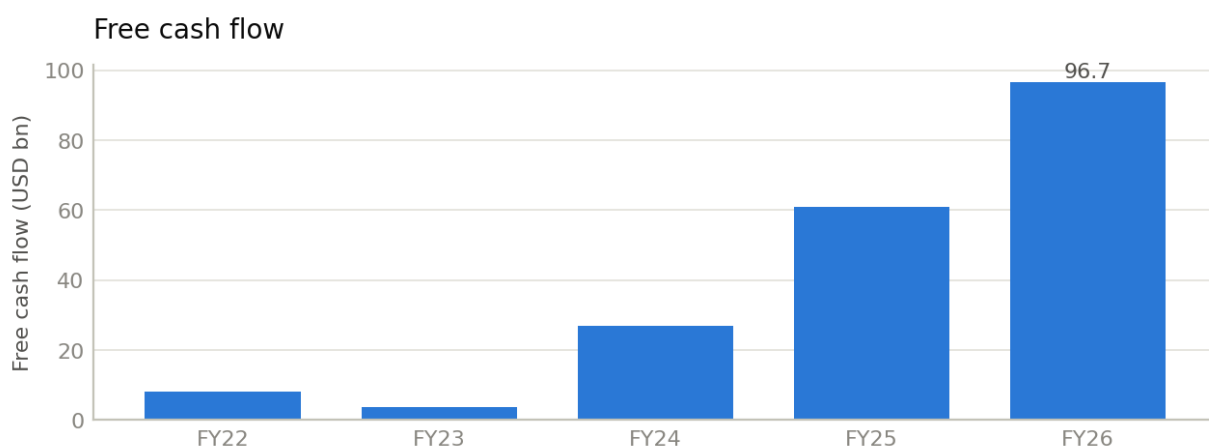
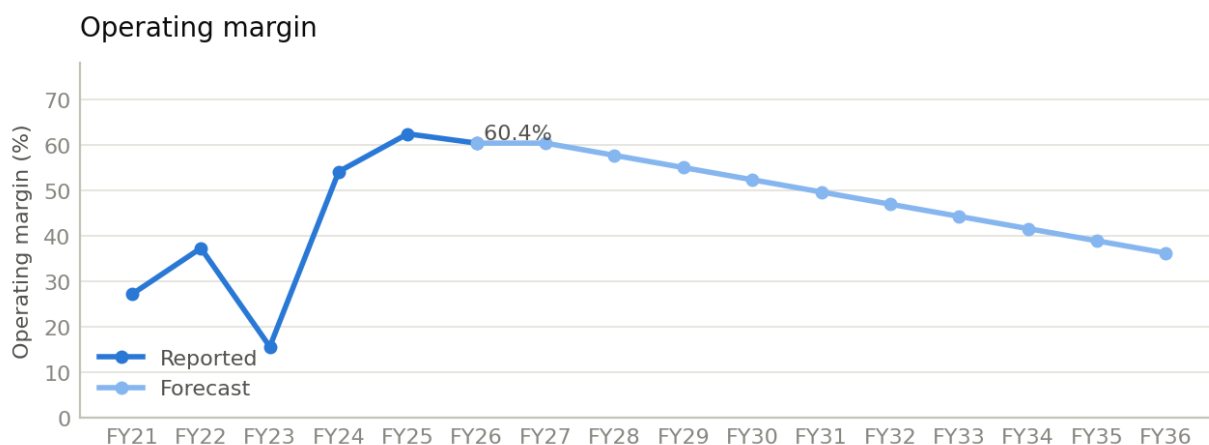
Operating income rose 60% to \$130.4 billion, supported by strong revenue growth despite margin pressures. Net income increased 65% to \$120.1 billion, with diluted net income per share up 67% to \$4.90. Cash flow from operations surged 60% to \$102.7 billion, enabling significant investment in property and equipment and returning capital through financing activities [1][5][8].

- FY2026 revenue: \$215.9 billion, up 65% YoY [1]
- Data Center revenue growth: 68%, driven by AI and accelerated computing [2]
- Gross margin declined 3.9 pts to 71.1%, impacted by product mix and \$4.5B H2O inventory charge [2][3]
- Operating expenses up 41% to \$23.1 billion, led by R&D; and infrastructure costs [4]
- Net income rose 65% to \$120.1 billion; diluted EPS increased 67% to \$4.90 [1][5]
- Operating cash flow increased 60% to \$102.7 billion, supporting capex and financing [8]

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [2] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37
- [3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.40
- [4] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.41
- [5] FY2026 Earnings Release - RECONCILIATION OF GAAP TO NON-GAAP FINANCIAL MEASURES - p.12
- [6] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.26
- [7] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.25
- [8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43





Fiscal year	Revenue	Growth	Op. income	Op. margin	Net income	FCF
FY2021	16.7bn	-	4.5bn	27.2%	4.3bn	-
FY2022	26.9bn	61.4%	10.0bn	37.3%	9.8bn	8.1bn
FY2023	27.0bn	0.2%	4.2bn	15.7%	4.4bn	3.8bn
FY2024	60.9bn	125.9%	33.0bn	54.1%	29.8bn	27.0bn
FY2025	130.5bn	114.2%	81.5bn	62.4%	72.9bn	60.9bn
FY2026	215.9bn	65.5%	130.4bn	60.4%	120.1bn	96.7bn

Figures in USD. Source: company filings.

GROWTH DRIVERS

NVIDIA's revenue growth is driven by AI platform adoption, architectural transitions, and expanding automotive and industrial AI markets, with supply constraints as a near-term risk.

NVIDIA's fiscal 2026 revenue surged 65% to \$215.9 billion, propelled by accelerated computing and AI platform shifts, notably the Blackwell architecture driving 41% gaming revenue growth and 70% professional visualization growth. Data Center revenue increased 68%, reflecting strong demand for Blackwell full-scale datacenter solutions despite a gross margin decline due to transition costs and inventory charges. Automotive revenue rose 39%, fueled by adoption of self-driving platforms, with new AI models like Alpamayo enabling vehicles capable of reasoning and action, exemplified by the imminent Mercedes-Benz CLA deployment. These drivers are already visible in results, underscoring the centrality of AI and platform innovation to NVIDIA's current financial performance [1][2].

Looking forward, management emphasizes exponential growth in AI compute demand across training and inference, with Blackwell and upcoming Vera Rubin architectures expected to extend NVIDIA's leadership in cost-efficient inference and performance. The AI ecosystem's rapid scaling, including foundation model makers and startups across industries and geographies, underpins sustained demand. Enterprise adoption of AI agents and industrial physical AI applications, supported by partnerships with Dassault Systèmes, Siemens, and Synopsys, signal prospective growth avenues beyond current revenue streams. Robotics and autonomous machine deployments with partners like Boston Dynamics and

Caterpillar further diversify growth drivers [2][4][5].

However, NVIDIA faces risks from complex and frequent architectural transitions across Data Center, Gaming, Professional Visualization, and Automotive segments. These transitions can induce revenue volatility due to inventory management challenges, customer adoption delays, and potential quality or production issues, as evidenced by prior Blackwell inventory provisions impacting margins. Additionally, supply constraints, particularly for advanced architectures, are expected to persist into fiscal 2027, although NVIDIA's strategic inventory build and supply chain scale aim to mitigate these headwinds. The company's ability to ramp U.S.-based manufacturing and manage product complexity will be critical to sustaining growth momentum [1][6][7].

Management expresses confidence in growth visibility into calendar 2027, supported by increased purchase commitments reflecting demand beyond typical horizons. Despite concerns about cloud customers' capital expenditure growth amid compressed cash flows, NVIDIA believes its roadmap and platform leadership will enable growth even if cloud CapEx growth slows, indicating resilience in its addressable market and customer engagement [2][8].

- Fiscal 2026 revenue grew 65% to \$215.9 billion, with Data Center up 68% and Gaming up 41% driven by Blackwell demand [1].
- Automotive revenue increased 39%, supported by self-driving platform adoption and new AI models like Alpamayo in Mercedes-Benz vehicles [1][2].
- Blackwell and Vera Rubin architectures are central to future AI compute demand growth, delivering order-of-magnitude improvements in inference cost and performance [3][5].
- Partnerships with Dassault Systèmes, Siemens, and Synopsys aim to accelerate industrial AI adoption via NVIDIA AI infrastructure and digital twins [2].
- Supply constraints and architectural transitions pose risks to revenue timing and margins, with prior inventory charges of \$4.5 billion related to H20 excess inventory [1][6][7].
- NVIDIA has secured inventory and capacity for demand beyond several quarters, reflecting confidence in growth visibility into calendar 2027 despite macroeconomic uncertainties [2][8].

Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

[2] Q42026 Quarterly Report - Corrected Transcript - p.6

[3] Q22026 Earnings Release (8-K) - p.5

[4] Q32026 Earnings Release (8-K) - p.5

[5] Q42026 Earnings Release (8-K) - p.6

[6] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.16

[7] Q32026 Quarterly Report (10-Q) - Item 1A -Risk Factors - p.35

[8] Q42026 Quarterly Report - Vivek Arya - p.8

COMPETITIVE POSITION

NVIDIA faces intense competition from established semiconductor firms and cloud providers, with export controls and supply constraints challenging its market position.

NVIDIA competes primarily with major semiconductor companies such as AMD, Intel, Broadcom, and Qualcomm, as well as large cloud service providers including Amazon, Microsoft, and Alphabet, who develop internal AI and accelerated computing solutions. These competitors often possess greater manufacturing resources, longer operating histories, and more extensive IP portfolios, enabling them to adapt more rapidly to technological shifts and customer demands, thereby intensifying competitive pressure on NVIDIA's market share and pricing power [2][1].

The company's fabless manufacturing model relies heavily on third-party foundries like TSMC and Samsung, exposing NVIDIA to supply chain risks including long lead times exceeding 12 months and capacity constraints. To mitigate this, NVIDIA has engaged in long-term supply agreements and paid premiums to secure capacity, which increases product costs and may limit responsiveness to demand fluctuations. These supply challenges, coupled with competitors' in-house fabrication capabilities, constrain NVIDIA's ability to scale and maintain competitive pricing [5][1][7].

Geopolitical factors further erode NVIDIA's competitive position, particularly U.S. export controls that effectively bar the company from China's data center market. This exclusion has enabled competitors to expand their ecosystems and customer bases in China, diminishing NVIDIA's global market opportunities. The complex and evolving licensing regime imposes operational burdens and may delay or restrict product availability, benefiting competitors and encouraging customers to seek alternative suppliers or develop internal solutions [3][4].

Despite these challenges, NVIDIA's competitive strengths include its broad product portfolio, software ecosystem, and partnerships, but the company acknowledges that intensified competition, supply constraints, and regulatory restrictions could materially reduce demand for its products and adversely impact financial results [1][2][5].

- Key competitors include AMD, Intel, Broadcom, Qualcomm, and cloud providers like Amazon, Microsoft, and Alphabet [2].
- Manufacturing lead times can exceed 12 months, with premiums paid to secure foundry capacity, increasing costs [1][7].
- Export controls have effectively foreclosed NVIDIA from China's data center market, benefiting competitors [3][4].
- Inventory provisions related to excess or obsolete products negatively impacted gross margin by 2.6% in fiscal 2026 [7].
- NVIDIA's supply chain is concentrated in Asia but is expanding to the U.S. and Latin America to build resilience [5].
- Competitive factors include performance, product breadth, software support, pricing, and manufacturing capabilities [5].

Sources cited above.

[1] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.14

[2] FY2026 Annual Report (10-K) - Item 1 -Business - p.8

[3] FY2026 Annual Report (10-K) - Item 1 -Business - p.10

[4] FY2026 Annual Report (10-K) - Item 1 -Business - p.10

[5] FY2026 Annual Report (10-K) - Item 1 -Business - p.8

[6] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

[7] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.38

[8] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.37

KEY RISKS

NVIDIA faces material risks from customer concentration, export controls, supply chain vulnerabilities, and regulatory scrutiny impacting revenue and operations.

NVIDIA's revenue concentration is a significant risk, with two direct customers accounting for 36% of total revenue in fiscal 2026, primarily within the Compute & Networking segment. This concentration exposes NVIDIA to substantial operational and financial risk if these customers reduce purchases, alter buying patterns, or if trade restrictions prevent sales, given that most sales are on a cancellable purchase order basis and indirect customers often purchase through multiple intermediaries, complicating revenue predictability and collection [1].

Export controls and geopolitical tensions critically impair NVIDIA's competitive position and market access, particularly in China, where U.S. export restrictions limit product offerings and the Chinese government actively encourages purchases from domestic competitors while imposing gaming and data center regulations that could materially reduce Gaming and Data Center revenues. These controls also complicate technical support and licensing, potentially benefiting competitors and disrupting customer relationships in key international markets [2][6].

Supply chain risks are heightened by NVIDIA's reliance on Asian manufacturing partners, primarily in Taiwan and South Korea, with increased costs for wafers, components, and logistics negatively impacting gross margins. The company's efforts to expand U.S.-based manufacturing aim to enhance supply chain resiliency but depend on domestic ecosystem capacity and timely scale-up. Macroeconomic factors such as tariffs, inflation, and capital market volatility further exacerbate supply chain complexity and cost pressures, while product pricing remains relatively inflexible to short-term cost fluctuations [3][4][7].

Regulatory and legal risks are extensive and evolving, encompassing export restrictions, antitrust inquiries, cybersecurity vulnerabilities, and compliance with diverse international laws. NVIDIA faces ongoing investigations by competition authorities in multiple jurisdictions, which are costly and may disrupt business relationships. Additionally, cybersecurity threats, including sophisticated ransomware and AI-enabled attacks, pose operational risks that could impair revenue and reputation. Corporate sustainability expectations and related regulatory requirements also present potential cost and reputational risks [5][8].

- 36% of fiscal 2026 revenue derived from two direct customers, increasing dependency risk [1].
- 31% of revenue generated outside the U.S., with China market access constrained by export controls and government policies [5][6].
- Supply chain costs for wafers, components, and logistics have increased, pressuring gross margins [4].
- 3.7% employee turnover rate in fiscal 2026, reflecting workforce stability amid operational risks [7].
- Ongoing antitrust investigations by EU, U.S., UK, China, and South Korea regulators impose significant compliance costs and operational uncertainty [8].

- Cybersecurity threats, including AI-enabled attacks, increasingly jeopardize operational continuity and data security [5].

Sources cited above.

- [1] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.23
- [2] FY2026 Annual Report (10-K) - Item 1 -Business - p.10
- [3] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.23
- [4] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.18
- [5] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.19
- [6] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.28
- [7] FY2026 Annual Report (10-K) - Item 1 -Business - p.11
- [8] FY2026 Annual Report (10-K) - Item 1A -Risk Factors - p.24

OUTLOOK

NVIDIA's capital allocation emphasizes aggressive share repurchases and consistent dividends, with substantial repurchase authorizations and flexible execution plans.

NVIDIA's management has demonstrated a robust commitment to returning capital to shareholders through an aggressive share repurchase program and steady dividend payments. In fiscal year 2026, the company repurchased 282 million shares for \$40.4 billion, reflecting a significant acceleration compared to prior periods. This activity was supported by multiple authorizations, including a \$60.0 billion additional repurchase authorization approved on August 26, 2025, which increased total available repurchase capacity to \$71.2 billion by that date and remained at \$62.2 billion as of October 26, 2025. The repurchases are executed flexibly across open market transactions, Rule 10b5-1 trading plans, and structured agreements, allowing management to optimize timing and pricing subject to market conditions and operational needs [1][3][5][8].

Dividend payments have been consistent and substantial, totaling \$974 million in fiscal year 2026, with quarterly dividends of approximately \$244 million each quarter. However, future dividends remain subject to the Board's discretion, emphasizing a cautious approach to balancing shareholder returns with operational liquidity [1][2][3][4][5][6][7].

Management explicitly states that share repurchases aim to offset dilution from employee equity compensation while maintaining adequate liquidity for operations and other investment opportunities. The company also incorporates the 1% excise tax on certain repurchases mandated by the U.S. Inflation Reduction Act of 2022 into repurchase costs, though this tax has not materially impacted repurchase expenses to date. The share repurchase program may be suspended at any time at management's discretion, underscoring a prudent and adaptive capital allocation strategy [1][2][3][4][5][6][7][8].

- Fiscal year 2026 share repurchases totaled 282 million shares for \$40.4 billion [3].
- On August 26, 2025, the Board approved an additional \$60.0 billion share repurchase authorization without expiration [1][3][5].
- As of October 26, 2025, \$62.2 billion remained authorized for repurchase [5].
- Fiscal year 2026 dividends paid amounted to \$974 million, with quarterly dividends around \$244 million [1][3][5].
- Share repurchases are executed via open market, Rule 10b5-1 plans, and structured agreements, subject to market and operational conditions [1][3][5][8].
- The 1% excise tax on repurchases under the Inflation Reduction Act is included in costs but has been immaterial to date [1][2][3][4][5].

Sources cited above.

- [1] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.30
- [2] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.28
- [3] FY2026 Annual Report (10-K) - Item 7 -Management's Discussion and Analysis - p.43
- [4] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.31
- [5] Q32026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.41
- [6] Q12026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.36
- [7] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.37
- [8] Q22026 Quarterly Report (10-Q) - Item 2 -Management's Discussion and Analysis - p.38

HOW WE REACH THE NUMBER

The headline figure reconciles several independent valuations, each weighted by the confidence it earns — the analyst consensus by how many analysts stand behind it. Every source is shown so the blend is auditable: our intrinsic DCF is one voice, the market's consensus another.

Source	Value / share	Weight	Detail
Intrinsic DCF	USD 52.27	1.0	Discounted free cash flow on audited figures; this model's own estimate
Analyst consensus	USD 300.00	3.0	58 analysts; median USD 300.00; mean USD 302.83; range USD 180–500

Blended fair value USD 238.07 (+8.3% vs price). Reconciled from USD 52.27 to USD 300.00 across sources.

DISCOUNTED CASH FLOW

Year	Revenue	Growth	Op. margin	Free cash flow	Present value
FY2027	280.7bn	30.0%	60.4%	128.8bn	112.3bn
FY2028	341.8bn	21.7%	57.7%	153.3bn	116.6bn
FY2029	396.4bn	16.0%	55.0%	172.7bn	114.5bn
FY2030	443.7bn	11.9%	52.3%	186.4bn	107.8bn
FY2031	484.1bn	9.1%	49.6%	195.0bn	98.3bn
FY2032	518.5bn	7.1%	47.0%	199.0bn	87.5bn
FY2033	548.3bn	5.7%	44.3%	199.3bn	76.5bn
FY2034	574.4bn	4.8%	41.6%	196.8bn	65.8bn
FY2035	597.9bn	4.1%	38.9%	191.9bn	56.0bn
FY2036	619.4bn	3.6%	36.2%	185.1bn	47.1bn

SCENARIOS: BEAR, BASE, BULL

Three coherent states of the world. Unlike the sensitivity grid, each scenario moves growth, margin, terminal growth and the discount rate **together**. The bear-to-bull spread is sized from this company's own historical volatility, not a fixed percentage.

Scenario	Yr-1 growth	Term. margin	Term. growth	WACC	Fair value	vs price	Weight
Bear case	10.0%	24.2%	2.0%	16.2%	USD 25.37	-88%	25%
Base case	30.0%	36.2%	2.5%	14.7%	USD 52.27	-76%	50%
Bull case	50.0%	48.2%	3.0%	13.2%	USD 114.96	-48%	25%

Probability-weighted value USD 61.22 (-72.1% vs price). Range USD 25.37 to USD 114.96, a spread of 171% of the base value. Read as a range, not a point.

Bear case. Demand softens and competition bites: year-one growth slows to 10%, the sustainable operating margin settles near 24%, and the market prices the added risk through a 16.2% discount rate. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

Base case. The central case, identical to the headline DCF: year-one growth of 30% decaying toward 2.5%, a terminal margin of 36%, discounted at 14.7%.

Bull case. Growth proves durable and operating leverage plays out: year-one growth holds at 50%, margins recover toward 48%, and an easing risk premium lowers the discount rate to 13.2%. Growth spread +/-20pp (one standard deviation of 5 years of revenue growth); margin spread +/-12pp (one standard deviation of 6 years of operating margin); discount rate +/-2bps; terminal growth +/-0bps.

ASSUMPTIONS

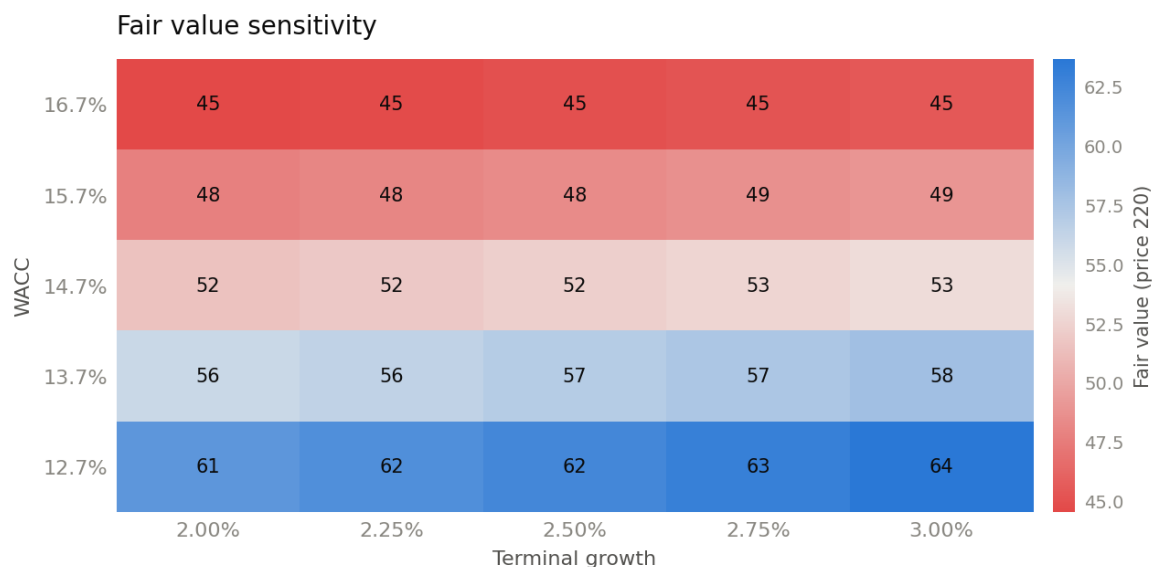
Every input to the model, how it was derived, and why. Inputs marked **bounded** were proposed by the language model and constrained to a range supported by reported history before entering the calculation.

Assumption	Value	Basis	Derivation
Risk-free rate	4.7%	Live market data	US 10-year Treasury yield (^TNX), latest close
Equity risk premium	5.5%	Standard default	Standard premium for US
Beta (Blume-adjusted)	1.81x	Live market data	Five-year raw beta 2.21, Blume-adjusted $(0.67 \times 2.21 + 0.33 \times 1.00) = 1.81$
Effective tax rate	13.5%	Derived from filings	Mean of tax expense / pre-tax income for FY2024-FY2026
Cost of equity	14.7%	Derived from filings	CAPM: $4.71\% + 1.81 \times 5.50\%$
Pre-tax cost of debt	6.2%	Standard default	Risk-free $4.71\% + 1.5\%$ investment-grade spread
WACC (discount rate)	14.7%	Derived from filings	$100\% \text{ equity} \times 14.68\% + 0\% \text{ debt} \times 6.21\% \times (1 - 13\%)$
Terminal growth rate	2.5%	Model estimate (bounded)	Model estimate 2.5%, bounded to [1%, 4%]
Year 1 revenue growth	30.0%	Model estimate (bounded)	Model estimate 30%, bounded to [2%, 65%] from reported growth of 65%
Terminal operating margin	36.2%	Model estimate (bounded) (bounded)	Model estimate 35.0%, normalised down from today's 60.4%; kept within a maturity band of [36.2%, 62.4%] (floor 60% of current, ceiling the demonstrated peak)

Assumption	Value	Basis	Derivation
Explicit forecast period	10	Standard default	10-year explicit forecast, then a perpetuity
D&A; as % of revenue	1.7%	Derived from filings	Three-year mean of depreciation and amortisation over revenue
Capex as % of revenue	2.3%	Derived from filings	Three-year mean of capital expenditure over revenue
Incremental working capital	25.0%	Derived from filings	Median change in working capital over change in revenue across 3 year(s) with material revenue growth, capped at 25%

SENSITIVITY

Fair value per share across the discount rate and terminal growth rate. Cells above the current market price are blue, below are red.



COMPARABLE COMPANIES

Company	Market cap	P/E	EV/EBITDA	EV/Sales
Advanced Micro Devices, Inc. (AMD)	790.8bn	123.6x	81.8x	18.9x
Broadcom Inc. (AVGO)	1.8tn	63.3x	44.0x	24.6x
Intel Corporation (INTC)	511.1bn	-	31.1x	9.2x
QUALCOMM Incorporated (QCOM)	168.2bn	18.5x	14.6x	4.0x
Taiwan Semiconductor Manufacturing Company Limited (TSM)	2.1tn	31.0x	4.7x	3.3x

Implied value applies the peer median P/E of 47.2x to trailing EPS of 4.90.

MODEL NOTES AND LIMITATIONS

- The analyst consensus (USD 300.00) sits 474% above our intrinsic DCF (USD 52.27). The blended value reconciles the two; read it as a triangulation, not a precise number.
- At USD 219.74 the price sits above even the bull case (USD 114.96); the market is pricing assumptions more optimistic than any of the three scenarios.
- The bull-to-bear range spans 171% of the base fair value, so the valuation depends heavily on which scenario plays out and should be read as a range rather than a point.
- Terminal operating margin was constrained to 36.2% (estimate was 35.0%).
- Financial statement figures are taken from SEC XBRL company facts (the company's own tagged filing data).

SOURCE DOCUMENTS

Every statement in this report is drawn from the documents below.

Q12027 Quarterly Report (10-Q) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000052/nvda-20260426.htm>

Q12027 Earnings Release (8-K) · filed 2026-05-20

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000051/q1fy27pr.htm>

Q12027 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2027/Q127/NVDA-F1Q27-Quarterly-Presentation-FINAL.pdf

Q42026 Earnings Release (8-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000019/q4fy26pr.htm>

Q42026 Quarterly Report

https://s201.q4cdn.com/141608511/files/doc_financials/2026/q4/NVDA-Q4-2026-Earnings-Call-25-February-2026-5_00-PM-ET.pdf

Q32026 Quarterly Report (10-Q) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000230/nvda-20251026.htm>

Q32026 Earnings Release (8-K) · filed 2025-11-19

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000228/q3fy26pr.htm>

Q22026 Quarterly Report (10-Q) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000209/nvda-20250727.htm>

Q22026 Earnings Release (8-K) · filed 2025-08-27

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000207/q2fy26pr.htm>

Q12026 Quarterly Report (10-Q) · filed 2025-05-28

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000116/nvda-20250427.htm>

FY2026 Annual Report (10-K) · filed 2026-02-25

<https://www.sec.gov/Archives/edgar/data/1045810/000104581026000021/nvda-20260125.htm>

FY2026 Earnings Release

<https://fortune.com/company-assets/1936/quarter/earnings-release-8-k-73c0d-2026-02-25-09-17-32.pdf>

Q42025 Investor Presentation

https://s201.q4cdn.com/141608511/files/doc_financials/2025/q4/NVDA-F4Q25-Quarterly-Presentation-FINAL.pdf

FY2025 Annual Report (10-K) · filed 2025-02-26

<https://www.sec.gov/Archives/edgar/data/1045810/000104581025000023/nvda-20250126.htm>

FY2024 Annual Report (10-K) · filed 2024-02-21

<https://www.sec.gov/Archives/edgar/data/1045810/000104581024000029/nvda-20240128.htm>

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